Session 14 — Provisions, Contingent Liabilities and Contingent Assets (IAS37)

By the end of this session you must know the recognition criteria for a provision and how they distinguish provisions from contingent liabilities and accrued liabilities, how to apply the recognition decision tree, how to measure a provision (best estimate, present value, future events), and the special rules for onerous contracts, future operating losses and restructuring provisions.

Plan

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1. Objective, Scope and Definitions

Objective of IAS37 (par 1): to ensure that appropriate recognition criteria and measurement bases are applied to provisions, contingent liabilities and contingent assets, and that sufficient information is disclosed in the notes to enable users to understand their nature, timing and amount.

- IAS37 does not apply to provisions and contingent liabilities already dealt with by another standard: IAS12 (Income Taxes), IFRS15 (Revenue), IFRS16 (Leases), IAS39/IFRS9 (Financial Instruments), IAS19 (Employee Benefits) and IFRS17 (Insurance Contracts).

Provision (par 10): a liability of uncertain timing or amount, recognised when (a) an entity has a present obligation as a result of a past event (the obligating event); (b) it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation; and (c) a reliable estimate can be made of the amount of the obligation.

Obligating event: a past event, existing independently of the entity's future actions, that creates a legal or constructive obligation such that the entity has no realistic alternative to settling it. A **legal obligation** derives from a contract, legislation, or other operation of law. A **constructive obligation** arises where the entity's own conduct has created a valid expectation, in those affected, that it will discharge a responsibility, even though that responsibility is not legally enforceable.

Accrued liability: a present obligation to transfer an economic resource as a result of past events, where an economic resource is a right that has the potential to produce economic benefits.

Contingent liability: either (a) a present obligation for which an outflow of economic benefits is not probable, or whose amount cannot be reliably estimated; or (b) a possible obligation whose existence will only be confirmed by uncertain future events not wholly within the entity's control. A contingent liability is never recognised on the balance sheet; it is disclosed in the notes (and even that is not always required, e.g. when the outflow is remote — Section 3).

2. The Recognition Decision Tree

Must know (decision path, working through the questions in order):
• Is there a present obligation as a result of a past event? If **no** and it is not even a possible obligation → do nothing
• If yes (or possible): does it probably require an outflow of resources? If **no** and the possibility is remote → do nothing; if **no** but not remote → disclose in the notes
• If yes: can a reliable estimate be made? If **no** → disclose in the notes (rare case, only for extremely uncertain liabilities)
• If yes to all three → **recognise a provision, and disclose in the notes**

Contaminated land (constructive obligation): an oil company causes contamination in a country with no environmental legislation, but has a widely published environmental policy committing to clean up contamination it causes, and a track record of honouring that policy. The obligating event is the contamination itself; the company's own conduct (publicised policy + track record) has created a valid expectation that it will clean up, so a constructive obligation exists even without a legal requirement. An outflow of resources is probable, and the clean-up cost can be reliably estimated → all three recognition conditions are met, so a provision must be recognised.

3. Provisions vs. Contingent Liabilities vs. Accrued Liabilities: Balance Sheet Treatment

Level of uncertainty spectrum: accrued liabilities (least uncertain, essentially certain in timing and amount) → provisions (uncertain timing or amount, but still probable and estimable) → contingent liabilities (most uncertain: either not probable, or not reliably estimable, or outside the entity's control).

Must know (where each item is reported):
• **Accrued liabilities:** balance sheet
• **Provisions:** balance sheet, but shown separately from other liabilities
• **Contingent liabilities with a probable outflow but an unreliable estimate:** notes to the financial statements only
• **Contingent liabilities with a remote outflow:** nothing recognised or disclosed

Loan guarantee (provision vs. contingent liability): Alpha company guarantees a bank loan made to Beta company. If Beta is solvent and can repay without breaching covenants, Alpha has only a contingent liability, disclosed in the notes. If Beta has breached its covenants and it is probable the bank will call on Alpha as guarantor, Alpha must recognise a provision for the amount likely to be paid (assuming some uncertainty remains in timing or amount — otherwise it would simply be a liability, not a provision).

4. Measuring a Provision: Best Estimate

Best estimate: the amount that the entity would rationally pay to settle the obligation, or to transfer it to a third party, at the reporting date. Since this is a matter of judgement, it may require advice from independent experts.

Must know (estimation method by population type):
• **One-off events** (e.g. restructuring, environmental clean-up, a single lawsuit): measured at the **most likely amount**
• **Large-population events** (e.g. product warranties): measured at the **probability-weighted expected value** across the range of possible outcomes

Expected value of provision = Σ (Probability of each outcome × Cost of that outcome)

where: - each outcome must be assigned a probability, and the probabilities across all outcomes must sum to 100%.

Warranty expected value: a company guarantees repair of manufacturing defects within six months of purchase. If all products sold had small defects, repair cost would be 1,000,000; if all had major defects, repair cost would be 4,000,000. Past experience and expectations: 75% of goods will have no defects, 20% will have small defects, 5% will have major flaws. Expected value = (75% × 0) + (20% × 1,000,000) + (5% × 4,000,000) = 0 + 200,000 + 200,000 = €400,000.

- Risks and uncertainties surrounding an event must be taken into account in reaching the best estimate (par 42-44); since risk describes the variability of outcomes, a change in risk can increase the estimated liability, so caution is warranted under uncertainty.
- However, uncertainty is never a justification for recording excessive provisions or intentionally overstating liabilities — IAS37's prudence is bounded, not unlimited.

5. Measuring a Provision: Present Value and Future Events

Present value (par 45-47): when the time value of money is material, the provision is measured at the present value of the expenditures expected to settle the obligation. The discount rate must be a pre-tax rate reflecting current market assessments of the time value of money and the risks specific to the liability. Between initial recognition and settlement, the provision is increased each period by the discount rate, with the increase recognised as a finance cost in profit or loss — this is the "unwinding of the discount."

Decontamination provision: a company brings a new processing plant into use in April 2024, costing €15m, with a 10-year estimated life. The plant uses hazardous chemicals that contaminate the plant itself from the moment it is used, and decontamination at the end of the plant's life is a legal requirement. The estimated present value of decontamination, using an 8% annual discount rate, is €5m. Because the contamination has already occurred (the obligating event has already happened, even though settlement is 10 years away), the company must recognise a *full* provision of €5m immediately, at its present value — it is correct, given the liability's long-term nature, to discount it.

Future events (par 48-50): anticipated future events that would affect the amount required to settle the obligation must be reflected in the provision's measurement, but only where there is reliable, objective evidence that they will occur.

Future events applied to the decontamination example: if the company believes future technological change or new legislation will reduce the eventual clean-up cost, it should reflect that expected reduction in the provision — but only if supported by sufficient objective evidence, not mere optimism.

- Crucially, expected gains from an anticipated disposal of assets must never be netted against a provision, even if the disposal is closely linked to the same event that created the obligation — provisions measure obligations, not net economic outcomes.

6. Onerous Contracts and Future Operating Losses

Must know (from par 63 onward):
• **Future operating losses:** shall **not** be recognised as a provision. An expectation of future operating losses is instead treated as an indicator that certain assets used in that operation may be impaired, triggering an IAS36 impairment test (Session 12) on those specific assets — not a general "future losses" provision
• **Onerous contracts:** the present obligation under the contract **shall** be recognised and measured as a provision. An onerous contract is one where the unavoidable costs of meeting its obligations exceed the economic benefits expected to be received under it

7. Restructuring Provisions

Restructuring (par 70): a programme that is planned and controlled by management and materially changes either (a) the scope of an activity undertaken by the entity, or (b) the manner in which the business is conducted.

- A restructuring provision is recognised only if the general recognition conditions from Section 1 are satisfied — restructuring is not a separate, looser recognition test, it is simply an application of the same three conditions to a specific type of event.
- In practice this means both of the following must hold:

Must know (restructuring recognition conditions):
• A **detailed formal plan** exists, identifying at least: the business or part of a business concerned; the principal locations affected; the location, function and approximate number of employees to be compensated for terminated employment; the expenditures to be incurred; and when the plan will be implemented
• The plan has raised a **valid expectation** in those affected that the restructuring will be carried out, either by starting to implement it or by announcing its main features to those affected

- Where restructuring involves selling a business, no obligation arises until the entity is formally committed to the sale (e.g. a binding sale agreement exists).
- A restructuring provision must include *only* direct expenditures that are (a) necessarily entailed by the restructuring, and (b) not associated with the entity's ongoing activities.
- This explicitly excludes costs such as: ordinary retraining or redeployment of continuing personnel, marketing expenses, and investment in new distribution systems and networks — these relate to the entity's future operations, not to winding down the restructured activity.

8. Contingent Assets

Contingent asset (par 10-31): a possible asset arising from past events, whose existence will be confirmed only by the occurrence or non-occurrence of uncertain future events not wholly within the entity's control.

Example: a company pursuing a legal claim with an uncertain outcome has a contingent asset, not a recognisable asset, while the claim remains unresolved.

- A contingent asset is never recognised on the balance sheet.
- Information about it is disclosed only when the inflow of economic benefits is probable.
- If realisation of the related economic benefit becomes virtually certain, the item is, by definition, no longer a contingent asset at all — it is simply recognised as an asset in the normal way.

Must know (contingent asset disclosure by probability):
• Receipt **not probable:** no asset recognised, no disclosure required
• Receipt **probable but not virtually certain:** no asset recognised, but disclosure required
• Receipt **virtually certain:** not a contingent asset at all — recognise it as an ordinary asset

9. Common Mistakes and Exam Traps

- Recognising a provision for expected future operating losses — this is explicitly prohibited; the correct response is an IAS36 impairment test on the affected assets, not a provision.
- Netting an expected gain on asset disposal against a related provision — gains from an anticipated disposal must never be considered in measuring a provision, regardless of how closely linked the disposal is to the obligating event.
- Recognising a restructuring provision on the basis of a board decision alone, without a sufficiently detailed formal plan and without having raised a valid expectation in those affected (by starting implementation or announcing the plan) — a mere management intention or board resolution is not enough.
- Including ordinary retraining, marketing or new-distribution-network costs within a restructuring provision — only costs both necessarily entailed by the restructuring and unrelated to ongoing activities qualify.
- Recognising a contingent liability or contingent asset on the balance sheet — both are, by definition, disclosure-only items (subject to the probability thresholds in Sections 3 and 8), never recognised as liabilities or assets.

- Forgetting to unwind the discount on a long-term provision each period as a finance cost — the provision must grow toward its undiscounted settlement amount over time, and that growth is a P&L finance cost, not a remeasurement of the underlying obligation.

10. Must Know Absolutely

Must know:
• Provision recognition test: present obligation from a past event + probable outflow + reliable estimate, all three required
• Legal obligation (contract/legislation) vs. constructive obligation (entity's own conduct creates valid expectation) — both qualify as obligating events
• Balance sheet treatment: accrued liabilities and provisions on the balance sheet (provisions shown separately); contingent liabilities in the notes only (or nothing, if remote)
• Measurement: most likely amount for one-off events; probability-weighted expected value for large populations; discount to present value when material, with unwinding as a finance cost
• Future operating losses → never a provision (impairment test instead); onerous contracts → always a provision
• Restructuring provision requires both a detailed formal plan **and** a valid expectation raised in those affected; only direct, restructuring-specific costs are included
• Contingent assets: never recognised; disclosed only if inflow is probable; become ordinary assets once virtually certain

Watch Out

Watch out: nothing significant was lost in extraction for this session — the decision tree, worked examples (contaminated land, loan guarantee, warranty expected value, plant decontamination) and the two synoptic appendix tables all reconcile cleanly with the standard's own structure.